ESG **57/100** AVERAGE

EQUITY NOTE · DEFENCE · 7 NOVEMBER 2026

Rheinmetall

RHM GY · Xetra, Frankfurt · ISIN DE0007030009 · Vehicles, ammunition, air defence, digital systems and naval

A second guidance cut has taken the shares down 48% this year. The cut moves sales into 2027 and strains cash, but it does not touch the €78bn order book. We think the price now assumes our bear case.

RATING

Buy

Target price	€1,350
Price (06/11/2026)	€812.70
Potential	+66%
P/E 2026E	27.1x

01 Investment thesis

We initiate on Rheinmetall with a BUY rating and a target price of €1,350, 66% above the 6 November close of €812.70. On the evening of 4 November Rheinmetall cut its 2026 sales guidance to about €13.2bn from €13.7-14.2bn, the second cut this year. The shares closed about 16% lower on 5 November and lost a further 3.4% on 6 November, 21% over the week. The Q3 operating result was in fact above forecasts. The damage came from timing and cash, not from demand.

Three reasons

- **The order book is intact.** Backlog was €78.0bn at 30 September, up from €56.7bn a year earlier, and 70% of it is firm orders. Even without the delayed

Boxer order, the CFO sees about €80-85bn at year-end. That is more than six times 2026 sales.

- **Profit is growing faster than sales.** In the first nine months sales rose 38% and the operating result rose 69% to a record €1,339m. The Q3 margin was 17.5%, against 14.8% a year earlier and 16.3% expected.
- **The price already assumes the bad case.** Our bear case, which has sales of only €17bn in 2030 and a 15.5% margin, is worth €821 per share, the price today. Our base case is worth €1,684, and the price implies a discount rate of 9.9%, against our WACC of 6.4%.

> WHAT WOULD MAKE US WRONG
>
> The shares were not cheap when they stood at €1,966. Two guidance cuts in four months cost management credibility, and cash is the weak point: operating free cash flow was −€1.7bn in nine months and net debt is €2.9bn. If the large German orders keep slipping, or if budgets and the Ukraine war change, sales could stall after 2028. Our WACC is also low (see section 06): at 9% our base case gives €947, not €1,684.

INDICATOR	VALUE	BASIS
P/E	27.1x	2026E EPS €30.0 (consensus €35.84, giving 22.7x)
P/E 2027E	22.3x	2027E EPS €36.4
EV / EBITDA	13.7x	2026E EBITDA €3.04bn; 15.9x on last 12 months
EV / Sales	3.16x	2026E revenue €13.2bn
Free cash flow yield	3.7%	FY2025 FCF €1,415m; 2026 about zero (guided)
Dividend yield	1.4%	€11.50 per share paid in May 2026

02 The surprise: a profit warning after a good quarter

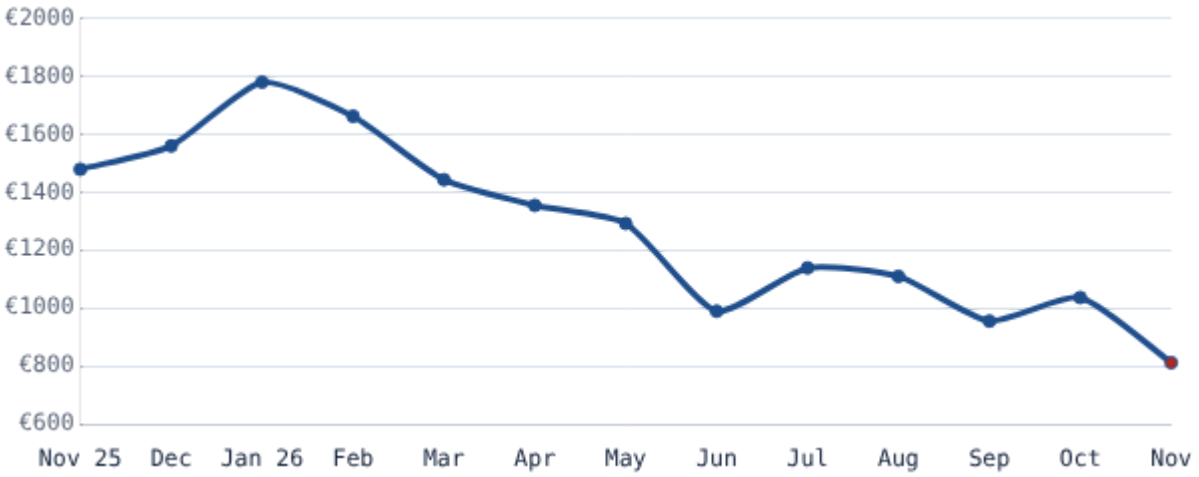
Rheinmetall published its Q3 figures on 5 November, after announcing the new guidance the evening before. Sales rose 36% to €3,149m and the operating result rose 62% to €553m, a margin of 17.5%. The operating result beat the consensus of €531m. Sales missed (€3.25bn expected), adjusted earnings per share missed (€6.42 against €6.92), and operating free cash flow was −€82m against +€123m expected.

The cut has three causes, all about timing. The Arminius order for Boxer armoured vehicles, a large German contract, will not be signed this year, so its advance

payments and sales move to 2027. Artillery ammunition batches face late acceptance by the customer. Sales from newer activities, notably the cooperation with the drone maker Destinus, will not fully arrive in Q4. The new margin guidance is about 18.5% (was about 19%) and cash conversion falls from above 40% to just over 0%. The CFO said that the €100bn year-end backlog target is unlikely without Arminius.

The shares fell as much as 16.3% on the day, and European defence stocks fell with them (BAE Systems more than 4%, Leonardo 2.8%, Saab 2.7%) after the sector had already weakened on worries about US oversight of military spending. J.P. Morgan cut its target from €1,350 to €1,150 and kept its neutral rating. Oddo BHF downgraded to Hold. UBS cut from €1,360 to €1,100 but stayed at Buy.

Exhibit 1 **Rheinmetall share price, month-end close, November 2025 to November 2026 (€)**



Yahoo Finance, Xetra. The last point is the close of 6 November 2026. Dividends not included.

Q3 2026	ACTUAL	CONSENSUS	COMMENT
Sales (€m)	**3,149**	**3,250**	**Miss; +36% on Q3 2025 (€2,308m)**
Operating result (€m)	553	531	Beat; +62% on €342m
Operating margin	17.5%	16.3%	14.8% a year earlier
Adjusted EPS (€)	6.42	6.92	Miss
Operating free cash flow (€m)	−82	+123	Nine months: −€1,698m
2026 sales guidance	about €13.2bn	€13.88bn	Was €13.7-14.2bn
2026 operating margin guidance	about 18.5%	19.2%	Was about 19%

2026 GUIDANCE BY DIVISION	SALES BEFORE	SALES NOW	MARGIN BEFORE	MARGIN NOW
Vehicle Systems	€5.90-6.00bn	€5.80-5.90bn	12-13%	about 12%
Weapon and Ammunition	€4.90-5.00bn	€4.40-4.50bn	29-30%	28-29%
Air Defence	€0.90-1.00bn	€1.00-1.10bn	n/a	n/a
Digital Systems, Naval Systems			Targets unchanged	

Sources differ on Q3 sales growth: one report gives 32%, the figures above give 36%. We use the company figures. Consensus values from Investing.com.

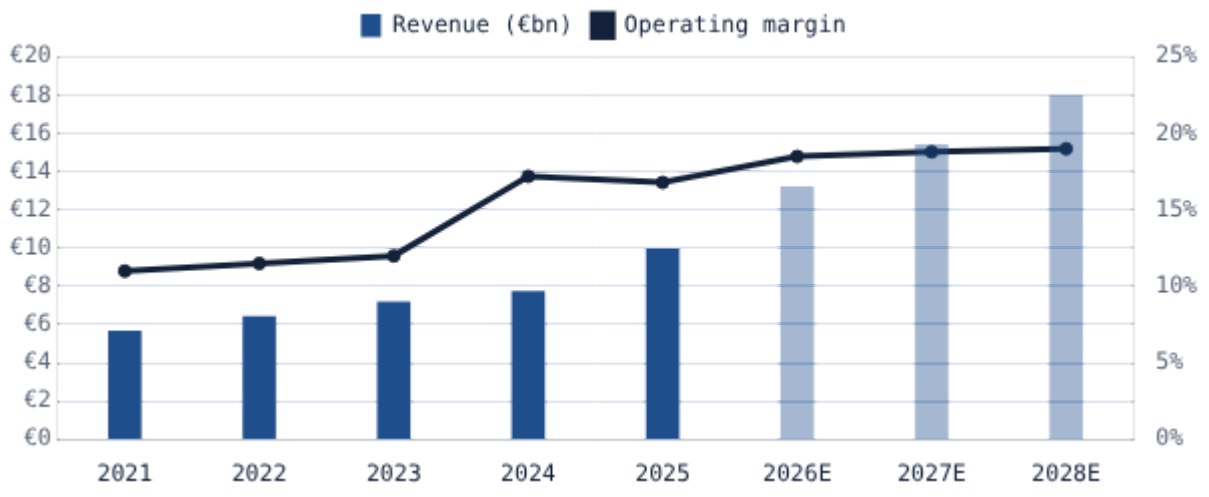
03 History and estimates

Rheinmetall's sales grew from €5.7bn in 2021 to €9.9bn in 2025, with an operating margin that rose from 11% to about 17%. Two things drove this: European rearmament after the invasion of Ukraine, and a large expansion of ammunition capacity. In nine months of 2026 the company invested €338m in the Weapon and Ammunition division alone, mainly in capacity. At the end of February 2026 it consolidated a naval business, which now reports as Naval Systems. The workforce is now 30,845. In November 2025 management set a target of about €50bn of sales and a margin above 20% in 2030. Morningstar uses €38.8bn instead, and J.P. Morgan questions some of the division targets.

€M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**5,658**	**6,410**	**7,176**	**7,715**	**9,935**	**13,200**	**15,410**	**17,980**
Growth	n/a	+13.3%	+11.9%	+7.5%	+28.8%	+32.9%	+16.7%	+16.7%
Operating result	625	736	858	1,330	1,670	2,442	2,890	3,420
Operating margin	11.0%	11.5%	12.0%	17.2%	16.8%	18.5%	18.8%	19.0%
Net income	291	474	535	717	696	1,401	1,698	2,070
EPS (€)	6.72	10.93	12.06	15.97	15.17	30.0	36.4	44.4
Free cash flow	419	−175	345	988	1,415	about 0	1,480	1,760
Net cash (debt), year-end	297	−275	−998	−1,158	410	n/a	n/a	n/a

A = reported (StockAnalysis, from company accounts; its operating income may differ from the company's adjusted operating result), E = Puccetti Capital Research estimate. Free cash flow for 2021A-2025A is operating cash flow less capex; for 2027E-2028E it is unlevered free cash flow in our DCF; 2026E is the company's guidance of cash conversion just over 0%. Net cash at end-2025 is €369m on the company's definition.

Exhibit 2 **Revenue (€bn) and operating margin**



Key events and investments

- **2024-2025:** margin steps up to 17% as ammunition and vehicle volumes grow; net income stays near €700m.
- **November 2025:** targets of about €50bn of sales, a margin above 20% and cash conversion above 50% in 2030.
- **February 2026:** naval business consolidated (Naval Systems, 7 months of sales: €679m).
- **July-August 2026:** the F126 frigate programme is dropped by the German ministry; €2.15bn of naval orders written off and about €300m of 2026 sales removed.
- **5 November 2026:** second sales cut of the year; order book €78.0bn.

FIRST NINE MONTHS 2026	SALES (€M)	GROWTH	OP. MARGIN	BACKLOG (€BN)
Vehicle Systems	3,898	+20%	12.0%	28.7
Weapon and Ammunition	2,705	+34%	23.4%	25.6
Air Defence	731	+63%	18.5%	4.1
Digital Systems	1,328	+29%	8.9%	20.4
Naval Systems (7 months)	679	n/a	10.5%	3.9
Group	**8,376**	**+38%**	**16.0%**	**78.0**

Weapon and Ammunition earns 23% and Air Defence 18.5%, while Vehicle Systems earns 12%. The delayed Boxer order is in the lowest-margin division, which is why we cut sales by more than profit in 2027. Our 2027E revenue of

€15.4bn is 16% below the consensus of €18.3bn, and our EPS of €36.4 is 30% below the consensus of €51.82. We expect the consensus to fall.

04 Cash flow and balance sheet

€M	2023A	2024A	2025A
Operating cash flow	743	1,720	2,287
Capex	−398	−732	−872
Free cash flow	**345**	**988**	**1,415**
Dividends paid	−187	−248	−369
Net cash (debt)	−998	−1,158	410
Equity incl. minorities	3,643	4,464	5,615

Cash is the real problem behind the profit warning. Free cash flow reached €1,415m in 2025, but in the first nine months of 2026 operating free cash flow was −€1,698m, against −€798m a year earlier. The cause is inventory: Rheinmetall builds ammunition and vehicles ahead of deliveries and customer payments. Net financial debt was €2.90bn at 30 September, against net liquidity of €369m at the end of 2025.

The company still expects positive operating free cash flow for the full year, which needs an inflow of about €1.7bn in Q4. The delayed Arminius advance payments are part of the gap. Capex is also high at 8.8% of 2025 sales.

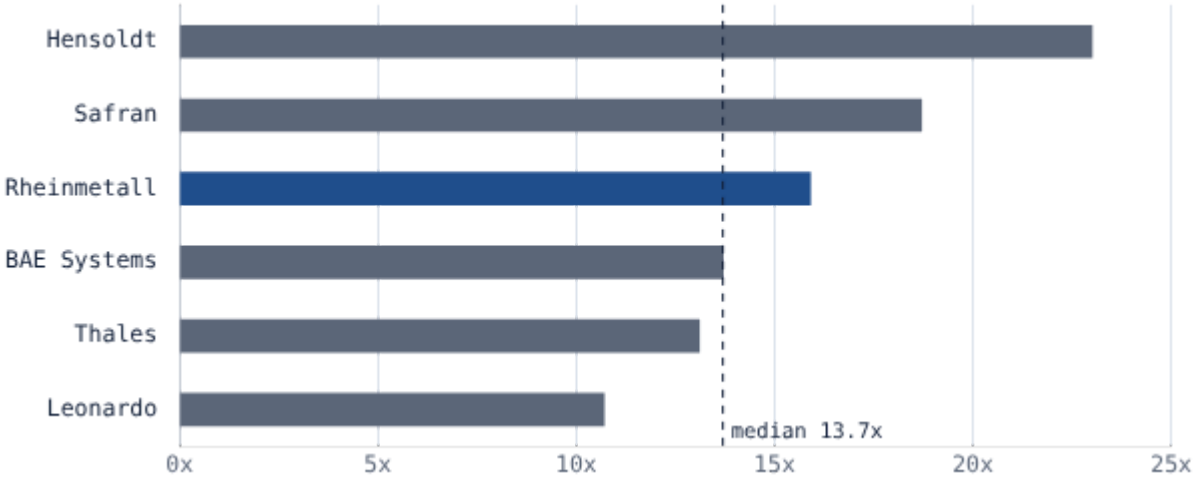
Net debt of €2.9bn is about 1.1 times last-twelve-month EBITDA, which is not stretched. We use the 30 September figure in the equity bridge, with no credit for the expected Q4 inflow, so our value is cautious on this point. We add €0.83bn for minorities, leases and pensions, the difference between the enterprise value of €41.66bn on StockAnalysis and market capitalisation plus net debt.

05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	DATE
Rheinmetall	**Germany**	**15.9x**	**17.0x**	**3.40x**	**6/11**
Hensoldt	Germany	23.0x	33.2x	3.61x	6/11
Safran	France	18.7x	25.8x	3.62x	6/11
BAE Systems	United Kingdom	13.7x	20.5x	1.95x	6/11
Thales	France	13.1x	18.5x	2.02x	6/11
Leonardo	Italy	10.7x	16.7x	1.51x	6/11
Median (peers)		**13.7x**	**20.5x**	**2.02x**	
Upper quartile (peers)		18.7x	25.8x	3.61x	

StockAnalysis statistics pages, last-twelve-month EBITDA and sales, consensus forward P/E. Rheinmetall: EV €41.66bn, forward P/E on consensus EPS (22.3x on our 2027E EPS). Saab is not shown because its page could not be retrieved.

Exhibit 3 **EV/EBITDA, Rheinmetall against peers**



Rheinmetall trades 16% above the peer median on EV/EBITDA but below it on forward P/E, because consensus earnings are high. Its nine-month sales growth of 38% is high for the group, so we give weight to the upper quartile, but we do not use it alone.

On the peer median, last-twelve-month EBITDA of €2.62bn gives €688 per share, and our 2027E EPS of €36.4 at 20.5x gives €747. At the upper quartile the values are €966 and €940. These multiples are lower than the DCF, which is why we give the comparables a weight of 40%.

06 DCF: Base, Bull and Bear

PARAMETER	VALUE
Risk-free rate (German 10-year Bund, 3 Nov)	3.3%
Equity risk premium	5.50%
Beta (5-year 0.45, Blume-adjusted)	0.63
Cost of equity	6.8%
Cost of debt after tax (4.2% pre-tax)	3.0%
Weights equity / debt (market)	90.5% / 9.5%
WACC	**6.4%**
Tax rate	29%
D&A / capex / working capital	4.5% / 6.5% to 5% / 12% of extra sales

SCENARIO	SALES 2030	MARGIN	G	VALUE
Bear	€17.0bn	15.5%	2.0%	€821
Base	**€24.5bn**	**19.5%**	**2.5%**	**€1,684**
Bull	€31.0bn	21.0%	3.0%	€2,585

The model runs ten years, 2026 to 2035, with mid-year discounting from 7 November 2026. Only the last quarter of 2026 is counted. In the base case sales grow 16.7% a year to €24.5bn in 2030, which is a little under half of management's target of about €50bn and below Morningstar's €38.8bn. The operating margin rises from 18.5% to 19.5% in 2030, below the target of more than 20%. Growth then slows from 7% in 2031 to 3% in 2035. Enterprise value is €82.3bn, 76% from the terminal value. After net debt and other claims of €3.73bn the equity is worth €78.6bn, or €1,684 per share. The implied exit multiple is 14.3x EBITDA, close to today's peer median of 13.7x. Weighting the scenarios 25/50/25 gives €1,694. The bear case has sales of €17bn in 2030 and a margin of 15.5%, and an exit multiple of 11.8x.

The discount rate is the main weakness of this model. Rheinmetall's 5-year beta of 0.45 is low for a stock that fell 52% in a year, because the shares move with defence news and not with the market. Our method gives a WACC of 6.4%, and each point on the WACC changes the base value by about €380 per share. At a WACC of 9% the base case would be worth €947, and the current price needs a discount rate of 9.9%. We keep the stated method and show the full range below, and we put the cross-check in the recommendation.

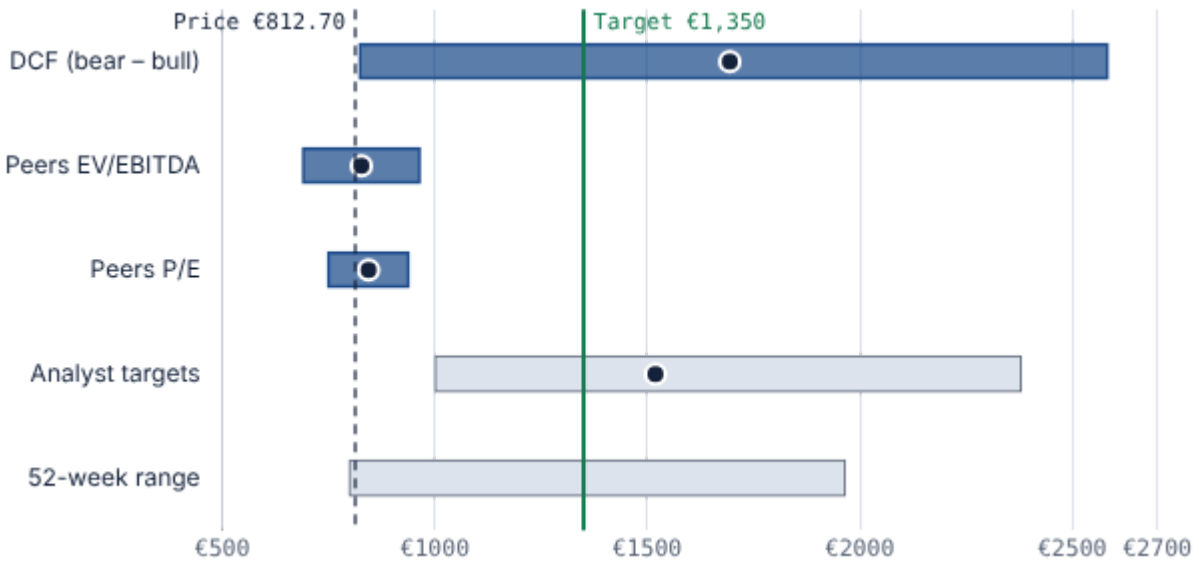
Exhibit 4 Sensitivity: base-case value per share (€) by WACC and terminal growth

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
5.4%	1,804	2,025	2,321	2,741	3,382
6.4%	1,399	1,525	**1,684**	1,889	2,165
7.4%	1,132	1,212	1,307	1,425	1,572
8.4%	943	997	1,059	1,133	1,223
9.4%	803	841	884	934	992

The price of €812.70 is only reached at a WACC near 9.9% with 2.5% growth, or in our bear case. Net debt is the 30 September figure.

07 Target price and recommendation

Exhibit 5 Valuation range by method (€ per share)



Bars: low to high. Dot: central value. Dashed line: price €812.70. Solid line: target €1,350.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (scenarios 25/50/25)	€1,694	60%	€821	€2,585	+108%
Peers EV/EBITDA (median to upper quartile)	€827	20%	€688	€966	+2%
Peers P/E (median to upper quartile)	€844	20%	€747	€940	+4%
Dividend model (memo)	*€578*	*0%*	*n/a*	*n/a*	*–29%*
Target price (weighted, rounded)	**€1,350**	**100%**			**+66%**

The weighted value is €1,350.6, which we round to €1,350. The dividend model is a memo: with a payout of 35% of our 2027E EPS, dividend growth of 15% for five

years and then 3%, and a cost of equity of 6.8%, it gives €578. It misses because Rheinmetall pays out little and reinvests, so we give it no weight. The two peer methods sit within 5% of the price, which shows how much the premium depends on the growth in the DCF.

> RECOMMENDATION · BUY · TARGET €1,350
>
> Our target is 11% below the consensus average of €1,519 (21 analysts at StockAnalysis, 12 Strong Buy, 4 Buy, 5 Hold), and above J.P. Morgan (€1,150) and UBS (€1,100). The difference comes from sales: we assume €24.5bn in 2030, against management's €50bn, and our 2027E EPS is 30% under consensus. We rate the shares a Buy because the order book and the Q3 margin support the earnings, and because the price equals our bear case. Conviction is lower than the +66% suggests: the low beta in our WACC flatters the DCF, and a more cautious reader would use the peer methods and the 9% case (€947), which still give upside of 2% to 17%. We would turn neutral if Arminius slips beyond mid-2027 or if Q4 cash flow does not reverse the nine-month outflow.

08 Risks and catalysts

Downside risks to our view

- **Order timing.** Arminius is now expected in Q1 2027 after customer price audits and parliamentary approval. A further slip would hurt 2027 sales and the €80-85bn backlog estimate.
- **Cash.** Net debt of €2.9bn and an inventory build of this size need a large Q4 inflow. If it does not come, debt rises and the dividend is at risk.
- **Credibility of the 2030 targets.** J.P. Morgan warns that targets may be cut, and Berenberg says more orders are needed beyond 2030.
- **Programme risk.** The F126 cancellation cost €2.15bn of orders; governments can cancel or delay.
- **Policy and sector.** Peace in Ukraine, German budget choices or tighter US oversight of defence spending would hit the whole sector.
- **Discount rate.** Each point of WACC is worth about €380 per share in our base case.

- **ESG.** Our ESG score is 57/100 (Average): Sustainalytics 25.5 (medium risk) and CDP B-, with no MSCI rating found and no controversy in the last two years that we could confirm.

Catalysts

- **Capital markets day, reported for 27 November 2026:** backlog conversion, new activities and earnings power. The date comes from press coverage and is not confirmed by us.
- **Signature of Arminius**, expected in Q1 2027 by press reports.
- **Full-year 2026 results and 2027 guidance:** listed for 11 March 2027 by AJ Bell, not confirmed by the company.
- **Q4 cash flow,** which must show the reversal of the inventory build.
- **Annual general meeting, expected 12 May 2027:** the dividend for 2026.

Method and sources. Reported figures from Rheinmetall releases and StockAnalysis; consensus from S&P Global via StockAnalysis and Investing.com. Estimates, net debt bridge and scenario values are Puccetti Capital Research estimates. Peer data from StockAnalysis at the dates shown, not adjusted for accounting differences. The Bund yield of 3.3% is the 3 November value from cbonds, the only dated figure found. The 5 November close of about €841.5 is derived from the 6 November change of −3.42%. Prices: Xetra close of 6 November 2026 via Yahoo Finance.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Rheinmetall. Not investment advice.

1. Q3 2026 statement · Euronews, profit warning · Investing.com, consensus and guidance · share close
2. Der Aktionär, J.P. Morgan target · 2030 targets and brokers · 2030 target, November 2025
3. RHM statistics · financials · cash flow · balance sheet · forecast · Yahoo Finance prices · Bund yield
4. Peers: Hensoldt · Safran · BAE Systems · Thales · Leonardo
5. ESG: KnowESG, Sustainalytics · ESG Factbook (CDP) · S&P Global ESG score · calendar · AJ Bell dates